

First, the \$5,000 investment yields an annualized rate of return of 400 percent. Let's assume this continues for just 10 years and the business is sold for the same price as it was bought (\$50,000). This is like a bond that pays 300 percent interest a year with a final interest payment in year 10 of 900 percent. This equates to a *21 bagger*—an annualized return of well over 50 percent for 10 years. Assuming a 10 percent discount rate, the discounted cash flow (DCF) stream is shown in [Table 1.1](#).

Second, the economy goes into a severe recession and business plummets for several years. The bank works with Mr. Patel and renegotiates loan terms as described earlier. Mr. Patel has a zero return on his investment for five years and then starts making \$10,000 a year in excess free cash flow when the economy recovers and booms (200 percent return every year after five years). The motel is sold in year 10 for the purchase price. Now we have a bond that pays zero interest for five years, then 200 percent for five years, and a final interest payment of 900 percent (see [Table 1.2](#)). This equates to a *seven bagger*—an annualized return of over 40 percent for 10 years.

[Table 1.1](#) Discounted Cash Flow (DCF) Analysis of the Best Case for Papa Patel

Year	Free Cash Flow (\$)	Present Value (\$) of Future Cash Flow
Excess cash		0
1	15,000	13,636
2	15,000	12,397
3	15,000	11,270
4	15,000	10,245
5	15,000	9,314